

MS7SL93O and MS7KN93O finale.docx

 FM Education Hub Ltd

Document Details

Submission ID

trn:oid::2945:380583087

Submission Date

Apr 28, 2026, 7:10 AM GMT+1

Download Date

Apr 28, 2026, 7:15 AM GMT+1

File Name

MS7SL93O and MS7KN93O finale.docx

File Size

43.2 KB

13 Pages

2,292 Words

13,834 Characters

0% detected as AI

The percentage indicates the combined amount of likely AI-generated text as well as likely AI-generated text that was also likely AI-paraphrased.

Caution: Review required.

It is essential to understand the limitations of AI detection before making decisions about a student's work. We encourage you to learn more about Turnitin's AI detection capabilities before using the tool.

Detection Groups

-  **0 AI-generated only 0%**
Likely AI-generated text from a large-language model.
-  **0 AI-generated text that was AI-paraphrased 0%**
Likely AI-generated text that was likely revised using an AI-paraphrase tool or word spinner.

Disclaimer

Our AI writing assessment is designed to help educators identify text that might be prepared by a generative AI tool. Our AI writing assessment may not always be accurate (i.e., our AI models may produce either false positive results or false negative results), so it should not be used as the sole basis for adverse actions against a student. It takes further scrutiny and human judgment in conjunction with an organization's application of its specific academic policies to determine whether any academic misconduct has occurred.

Frequently Asked Questions

How should I interpret Turnitin's AI writing percentage and false positives?

The percentage shown in the AI writing report is the amount of qualifying text within the submission that Turnitin's AI writing detection model determines was either likely AI-generated text from a large-language model or likely AI-generated text that was likely revised using an AI paraphrase tool or word spinner.

False positives (incorrectly flagging human-written text as AI-generated) are a possibility in AI models.

AI detection scores under 20%, which we do not surface in new reports, have a higher likelihood of false positives. To reduce the likelihood of misinterpretation, no score or highlights are attributed and are indicated with an asterisk in the report (*%).

The AI writing percentage should not be the sole basis to determine whether misconduct has occurred. The reviewer/instructor should use the percentage as a means to start a formative conversation with their student and/or use it to examine the submitted assignment in accordance with their school's policies.

What does 'qualifying text' mean?

Our model only processes qualifying text in the form of long-form writing. Long-form writing means individual sentences contained in paragraphs that make up a longer piece of written work, such as an essay, a dissertation, or an article, etc. Qualifying text that has been determined to be likely AI-generated will be highlighted in cyan in the submission, and likely AI-generated and then likely AI-paraphrased will be highlighted purple.

Non-qualifying text, such as bullet points, annotated bibliographies, etc., will not be processed and can create disparity between the submission highlights and the percentage shown.



Table of Contents

1. Introduction.....	1
2. TOWS Matrix	1
3. Critical Evaluation of Weaknesses, Threats, and Opportunities.....	2
4. Two Potential Business Strategies	4
4.1 Strategy 1: Digital Wealth Management Expansion (SO Strategy).....	4
4.2 Strategy 2: AI-Driven Hyper-Personalisation to Counter Neobank Competition (ST Strategy).....	4
5. Recommended Strategy and Implementation	6
6. Business Model Canvas	7
7. Conclusion	9
References.....	10
Appendixes	11
Appendix 01 - SWOT Analysis	11

1. Introduction

Lloyds Banking Group (hereafter Lloyds) is a long-standing banking group in the United Kingdom, founded in 1765. The Group now operates a range of brands - Lloyds Bank, Halifax and Bank of Scotland - that together have around 26 million customers (Lloyds Banking Group, 2024). The Group offers a wide range of retail and commercial banking, insurance, pensions, wealth management and mortgage services, and is the UK's largest digital bank, with more than 22.7 million digital customers (PortersFiveForce.com, 2025).

This report assesses Lloyds' current positioning vis-à-vis its key competitors in the banking market, employing a TOWS matrix analysis. Using this framework, two business strategies are identified and assessed, with one recommended for adoption during the 2024-2026 period. The Business Model Canvas (Osterwalder & Pigneur, 2009) is then used to show how the strategy can be implemented.

2. TOWS Matrix

The TOWS matrix is a variant of the SWOT analysis that produces strategic alternatives by matching internal and external factors (Weihrich, 1982). Instead of merely listing the factors, it focuses on combinations, making it suitable for the postgraduate level of analysis.

In the case of Lloyds, the TOWS analysis draws on the following factors. On the inside, Lloyds' strengths are being the largest digital bank in the UK, its multiple brands and a high common equity tier 1 (CET1) ratio of 13.5% (Pestel-analysis.com, 2025). On the other hand, its weaknesses include a UK domestic market focus, legacy IT infrastructure, the ongoing motor finance commission scandal (which led to a £953 million charge in 2015), and the Group's increasing cost base of £12.2 billion (Lloyds Banking Group, 2015). Externally, the Group has opportunities in the burgeoning UK wealth management market (estimated at £1.3 trillion in assets under management), partnerships in artificial intelligence, expansion in green finance, and the untapped mass affluent market (with an annual household income of over £75,000) (PortersFiveForce.com, 2025). Threats include the rise of neobanks like revolut and Monzo (which saw a 35% year-on-year increase in customers), growing scrutiny by the FCA, macroeconomic vulnerabilities, and a 47% rise in financial cybersecurity incidents in 2023 (DCFModeling.com, 2025).

The table below presents the full TOWS matrix:

TOWS Matrix	Opportunities (O)	Threats (T)
Strengths (S)	SO (Maxi - Maxi)	ST (Maxi-Mini)
	Leverage digital infrastructure and brand trust (S1, S4) to capture the growing UK wealth market. (O1, O4) targeting mass affluent customers through Lloyds Wealth.	Use brand authority and capital strength (S2, S3) to counter neobank growth (T1) through an AI-driven, hyper-personalised mobile banking platform.
Weaknesses (W)	WO (Mini-Maxi)	WT (Mini - Mini)
	Deploy AI investment to modernise legacy systems (W2) and diversify revenue beyond the UK domestic base(W1) by expanding fee-based wealth services (O2)	Accelerate legacy IT modernisation (W2) before regulatory and cyber threats (T2, T4) materialise into systemic vulnerabilities.

Table 1: TOWS Matrix for Lloyds Banking Group (Author's Generated adapting SWOT analysis)

See Appendix 01

3. Critical Evaluation of Weaknesses, Threats, and Opportunities

The most important of the TOWS intersections is between Lloyds' dominance of the UK market (W1) and the rapid growth of neobanks (T1). Neobanks like Monzo and Revolut have now secured 9.1% of the UK banking market and are growing fast, largely due to their frictionless, low-cost mobile banking and offering that attracts younger customers (DCFModeling.com, 2025). Lloyds' outdated IT infrastructure (W2) hampers its ability to quickly develop new products, putting it at a disadvantage in this space.

On the other hand, the threat of the UK's £1.3 trillion wealth management industry (O1) is significant and under-levered by Lloyds. The mass affluent market - those with incomes or wealth of over £75,000 a year - is a group that demands personalised financial services (banking, investment and insurance) that are integrated and tailored (PortersFiveForce.com, 2025). Private banks cater to the elite affluent, and neobanks to the mass market. Hence, an opportunity exists here that Lloyds, given its brand equity and customer relationships, could exploit.

Particular attention should be paid to the motor finance provision (W3). The £953 million provision in 2025 has impacted short-term earnings and is a reputational risk. But it does not change the long-term strategy of Lloyds, as the Group's CET1 ratio of 13.5% offers a cushion to absorb such charges without impinging on its strategy (Lloyds Banking Group, 2025).

On the regulatory front (T2), the FCA's heightened focus on retail banking - especially since the Consumer Duty rules came into effect in 2023 - means that banks need to prove value to their customers. Paradoxically, this trend serves to fortify Lloyds' move towards transparent fee-based wealth management where services can be better valued and justified. So, the threat can be turned an opportunity in the long term if Lloyds can frame its wealth proposition around advice and outcomes.

4. Two Potential Business Strategies

4.1 Strategy 1: Digital Wealth Management Expansion (SO Strategy)

The strategy is to heavily develop Lloyds Wealth the Group's new integrated wealth management platform - to target the mass affluent market in the UK. The strategy is based on the SO (Maxi-Maxi) quadrant of the TOWS matrix: leveraging Lloyds' digital capabilities and brand equity (S1, S4) to target the opportunity of the emerging UK wealth management market and the unmet need for the mass affluent (O1, O4).

Lloyds is already laying the groundwork. The £390 million purchase of Embark Group - a retirement and investment platform - brought 410,000 customers and £35 billion in assets under administration to the wealth division (WeInvestSmart.com, 2024). The recent joint venture with Schroders Personal Wealth also enhances its services. The Insurance, Pensions and Investments division's underlying profit grew by 21% year-on-year in 2015 (PortersFiveForce.com, 2015), confirming the business case for this move.

Johnson et al. (2014) explain market development is a growth strategy that involves new market segments with existing product capabilities. This is exactly the strategy described - Lloyds is not pioneering a new segment but is now more focused on a segment in which they already operate and have a competitive advantage.

However, this strategy will require Lloyds to address a perception issue. The Group's legacy as a retail bank means mass affluent customers may not automatically think of it as a provider of high-end wealth advice. A considerable marketing effort and service re-emphasis would be needed to re-establish Lloyds in this market.

4.2 Strategy 2: AI-Driven Hyper-Personalisation to Counter Neobank Competition (ST Strategy)

This strategy is to use Lloyds' extensive AI capabilities to offer highly personalised banking services to counter the threat posed by Monzo and Revolut. The ST (Maxi-Mini) strategy leverages Lloyds' brand, capital and digital scale (S1, S2, S3) to protect market share from the threat (T1) posed by neobanks.

Lloyds has made significant investments in AI, deploying more than 800 AI models and having around 50 Generative AI use cases live in early 2026 (AlphaStreet News, 2026). The Group is

also a shareholder in Aveni, an AI start-up focused on FinLLM - a large language model specifically designed for the finance sector. Lloyds' AI projects delivered £50 million in P&L benefits in 2015 and are on track to deliver over £100 million in 2016 (AlphaStreet News, 2016).

This strategy would be categorised as differentiation under Porter's (1985) generic strategy model - leveraging technology to deliver a unique experience that will compensate for customer loyalty rather than price-based offerings from neobanks. But this is risky: neobanks have a lower cost structure, as they have never had to bear the legacy IT costs, and they can rapidly test and deploy new product features. Unless Lloyds can dramatically accelerate its technology upgrade (with more than 50% of its applications now on cloud, according to AlphaStreet News, 2026) this is a defensive exercise in futility, rather than establishing a competitive advantage.

5. Recommended Strategy and Implementation

The best strategy for Lloyds for the 2024-2026 Strategic Plan is Strategy 1 - Digital Wealth Management Expansion.

The prime driver is income diversification. Currently Lloyds makes much of its income from net interest income, which is cyclical and interest sensitive. The net interest margin for the banking segment in 2024 was 2.95%, which led to a 5% drop in the net income (Lloyds Banking Group, 2024). The income from its wealth management business (fees) is less cyclical and interest rate sensitive. The Group's ambition of achieving a Return on Tangible Equity (RoTE) of more than 15% by 2026 (AlphaStreet News, 2026) can only be achieved by increasing its high margin income.

And the competition is friendly. Neobanks are formidable transactional competitors, but lack the regulatory and network infrastructure (and the balance sheet) to compete in wealth management. This provides a competitive advantage that Lloyds is likely to enjoy for the 2024-2026 period.

On the other hand, Strategy 2 - personalisation through artificial intelligence (AI) - is necessary but doesn't alter Lloyds' business model. Market share defence is required but not sufficient to turnaround the Group's financial performance to achieve its promise to its shareholders. Strategy 1 is about developing new market opportunities; Strategy 2 is about market share protection.

The model for implementation is the Johnson et al.'s (2014) SFA (Suitability, Feasibility, Acceptability). Suitability: the strategy is focused on the opportunity in mass affluent wealth services, and is based on the Embark and Schroders platforms. Feasibility: the Group's £4 billion digital and resilient CET1 investment provides the financial means. Acceptability: shareholders' £3.6 billion dividend in 2024 demonstrates its trust in the Group and the wealth strategy's focus on higher-margin, sustainable income is aligned to the interest of future shareholders.

6. Business Model Canvas

The Business Model Canvas framework (Osterwalder & Pigneur, 2009) is a means for visualising an organisation's value creation, delivery and capture. Here, the Canvas is used to map out Lloyds' Digital Wealth Management Expansion strategy for the 2024-2026 roll-out.

Key Partners Scottish Widows (insurance), Personal Wealth (investments), fintech start-ups via Launch Innovation Programme, Google Cloud (AI/ML infrastructure), FCA (regulatory alignment).	Key Activities Digital onboarding of mass affluent clients, AI-driven portfolio recommendations, integrated insurance & pension advice, data analytics, compliance management.	Value Proposition A single, trusted digital platform offering banking, investment, pension, and insurance products personalised through AI for customers earning £75,000+, removing the need for separate providers.
Key Resources 22.7 million digitally active customers, Lloyds Wealth platform, 800+ AI models, 4,000+ tech professionals, Scottish Widows brand, strong CET1 capital base (13.5%).	Customer Relationships Hyper-personalised app interactions, dedicated relationship managers for mass affluent, AI-generated financial health insights, ready-made investment products.	Customer Segments Mass affluent UK individuals (£75k+ income), SMEs seeking integrated treasury services, existing 26 million customers being upsold wealth products.
Channels Lloyds mobile app (relaunched 2024), online portal, branch network for high-touch advisory, IFA (Independent Financial Adviser) referral network, workplace pension onboarding.	Cost Structure Technology investment (£4bn through 2026), staffing of financial advisers and data scientists, regulatory compliance, AI model training, integration of Embark platform.	Revenue Streams Fee-based wealth management charges, insurance premiums (Scottish Widows), workplace pension contributions, investment platform fees, cross-sold mortgage and loan products.

Table 2: Business Model Canvas Lloyds Wealth Management Expansion Strategy (2024–2026)

The Canvas displays a holistic model underpinned by three key themes. First, the Value Proposition is inherently integrated: Lloyds is selling an investment product but more specifically a life-stage financial platform that integrates banking, insurance, pensions and investments into a seamless experience that is powered by AI. This key pain point for the mass affluent customer is the siloed nature of their financial life. Second, the Key Partnerships especially with Schroders Personal Wealth and Scottish Widows enables Lloyds to provide institutional investment products without the regulatory and capital cost of developing in-house investment management capabilities (Grant, 2010). Third, the Revenue Streams are differentiated: fee-based income, insurance premiums and platform charges mean the Group's reliance on net interest income is reduced, directly addressing the Group's key weakness. The cost structure, however, involves a substantial upfront technology and human resources investment, implying that the rate of profitability from this segment will likely increase significantly only from 2016 onwards in line with the Group's pronouncements.

7. Conclusion

This report has conducted a thorough strategic analysis of Lloyds Banking Group, using the TOWS matrix to map out strategic possibilities, and assess two strategies against the Group's internal strengths and weaknesses and its external environment. This analysis reveals that Lloyds is simultaneously the biggest digital bank in the UK, with deep pockets and brand equity, but it is also heavily dependent on net interest income (NII) in an increasingly competitive environment dominated by low-cost, digital-first, neobanks.

The proposed strategy - Digital Wealth Management Expansion - targets this issue by developing a new, fee-generating business for the mass affluent market. It builds on its investments in Embark, Schroders Personal Wealth and Scottish Widows, and taps into the Group's AI capabilities and 26 million customers. The Business Model Canvas confirms the integrity of this strategy, with a clear set of value propositions, alliances and revenue streams.

References

- AlphaStreet News. (2026). *Lloyds Banking Group accelerates strategic delivery and upgrades 2026 outlook amid robust 2025 performance*. <https://news.alphastreet.com/lloyds-banking-group-accelerates-strategic-delivery-and-upgrades-2026-outlook-amid-robust-2025-performance/>
- DCFModeling.com. (2025). *Lloyds Banking Group plc (LYG): SWOT analysis*. <https://dcfmodeling.com/products/lyg-swot-analysis>
- Grant, R. M. (2010). *Contemporary strategic analysis*. Blackwell.
- Johnson, G., Whittington, R., Scholes, K., Angwin, D., & Regnér, P. (2014). *Exploring strategy: Text and cases (10th ed.)*. Pearson Education.
- Lloyds Banking Group. (2025). *Lloyds Bank plc annual report and accounts 2025*. <https://www.lloydsbankinggroup.com/assets/pdfs/investors/financial-performance/lloyds-bank-plc/2025/q4/2025-lb-annual-report.pdf>
- Lloyds Banking Group. . (2024). *2024 full year results*. Lloyds Banking Group. <https://doi.org/https://www.jamessharp.co.uk/market-news/lloyds-banking-group-2024-results/>
- Osterwalder, A., & Pigneur, Y. (2009). *Business model generation*. Self-published.. <http://businessmodelgeneration.com/book>
- Pestel-analysis.com. (2025). *Lloyds Banking Group SWOT analysis*. <https://pestel-analysis.com/products/lloydsbankinggroup-swot-analysis>
- Pitt, M., & Koufopoulos, D. N. (2012). *Essentials of strategic management*. Sage. Sage.
- Porter, M. E. (1985). *Competitive advantage: Creating and sustaining superior performance*. Free Press.
- PortersFiveForce.com. (2025). *What is growth strategy and future prospects of Lloyds Banking Group*. <https://portersfiveforce.com/blogs/growth-strategy/lloydsbankinggroup>
- SwotandPestle.com. (2025). *Lloyds Banking Group SWOT and PESTLE analysis*. <https://www.swotandpestle.com/lloyds-banking-group-swot-pestle>
- Weihrich, H. (1982). The TOWS matrix — A tool for situational analysis. *Long Range Planning*, 15(2), 54–66. [https://doi.org/10.1016/0024-6301\(82\)90120-0](https://doi.org/10.1016/0024-6301(82)90120-0)
- WeInvestSmart.com. . (2024). *Lloyds share price forecast 2024, 2025, 2026, 2027, 2030 and dividend prediction*. <https://weinvestsmart.com/lloyds-share-price-forecast-dividend-prediction/>

Appendixes

Appendix 01 - SWOT Analysis

Strengths (S)	Opportunities (O)
S1: UK's largest digital bank (26m customers). S2: Strong multi-brand portfolio S3: CET1 ratio 13.5% S4: £4bn digital transformation investment	O1: UK wealth management market (£1.3tn AUM) O2: AI and fintech collaboration O3: Sustainable/green finance growth O4: Mass affluent segment gap (£75k+ income)
Weaknesses (W)	Threats (T)
W1: Heavy UK market concentration W2: Legacy IT infrastructure W3: Motor finance scandal (£953m provision) W4: Rising operating costs (£12.2bn)	T1: Neobank competition (Monzo/Revolut +35% YoY) T2: FCA regulatory scrutiny T3: UK macroeconomic instability T4: Cybersecurity risk (+47% incidents)